NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 09.02.2023 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(CAA) /2/230/AMR/2023		230	Mangal Industries Limited (Demerged Company) and Amara Raja Batteries Limited (Resulting Company)

ORDER

Mr.S.Ravi, Sr. Counsel along with Mr.M.Naga Deepak, Counsel appearing for the Applicant companies present.

CA(CAA)/2/230/AMR/2023 is allowed, vide separate orders.

Sd/- 09.02.2023
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT MANGALAGIRI

CA (CAA) No.2 /230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Arrangement between MANGAL INDUSTRIAL LIMITED (Demerged Company) and AMARA RAJA BATTERIES LIMITED (Resulting Company)

BETWEEN:

Mangal Industrial Limited**,**
(CIN: U15122AP1990PLC011932)
Registered office at:
Renigunta, Chuddapah Road,
Karakambadi, Tirupati,
Andhra Pradesh -517520
Represented by its Company Secretary
Mr.P.Ravi Kumar

….1st Applicant/ Demerged Company

AND

Amara Raja Batteries Limited,
CIN: L31402AP1985PLC05305
Registered office at:
Renigunta, Chuddapah Road,
Karakambadi, Tirupati,
Andhra Pradesh -517520
Represented by its Company Secretary
Mr.Vikas Sabharwal

…. 2nd Applicant/Resulting Company

Date of pronouncement of orders: 09.02.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant : Mr.S.Ravi, Senior Counsel along with Mr.M.Naga Deepak, Advocate

Per: Justice Telaprolu Rajani, Member Judicial.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking;
   i) to dispense with convening the meeting of the Equity Shareholders and Secured Creditors of the 1st Applicant Company;
   ii) to convene and hold the meeting of Unsecured Creditors of the 1st Applicant Company/Demerged Company;
   iii) to convene and hold the meeting of Unsecured Creditors and Equity Shareholders of the 2nd Applicant Company/Resulting Company

   for consideration of the Scheme of Arrangement ("Scheme" for short) between the Applicant Companies and their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Office of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

a) M/s. Mangal Industries Limited (CIN: U15122AP1990PLC011932), 1st Applicant/Demerged Company was incorporated on 09.11.1990 under the Companies Act, 1956 in the name and style of Harsha Electronics Private Limited and further the Central Government approved vide letter No.RAP/Sec.17/11932/2004 dated 21.10.2014, changed its name to Mangal Precision Products Private Limited and the status of the company was changed from Private Limited to Public Limited on 19.03.2009. Subsequently, the 1st Applicant name was changed to Mangal Industries Limited on 30.07.2012. The Authorized Share Capital as on 31.03.2022, was Rs.15,00,00,000/-, divided into 1,50,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.13,90,38,770/- divided into 1,39,03,877 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of manufactures, producers, assemblers, dealers, importers, exporters, stockists, distributors, agents or otherwise deal in storage batteries used in industries, railways, posts & telegraphs, navigation, ships army tanks, mining, power plants, automobiles and other industrial, commercial purposes and in manufacture of dry batteries, button batteries, battery plates, battery separators, battery containers, cells, lids and battery components, and voltage regulators, laminations for transformers, U.P.S systems, chargers, invertors, etc., and other allied activities.

b) M/s. Amara Raja Batteries Limited, 2nd Applicant/Resulting Company was initially incorporated on 13.02.1985 as a Private Limited Company and the status of the company was changed from Private Limited to Public Limited on 08.11.1990. Subsequently, the 2nd Applicant name was changed to Amara Raja Batteries Limited. The Authorized Share Capital as on 31.03.2022, was Rs.20,00,00,000/-, divided into 20,00,00,000 equity shares of Rs.1/- each. The issued, subscribed and paid-up share capital is Rs.17,50,28,500/- divided into 17,50,28,500 equity shares of Rs.1/- each. The main objects of the Company are to carry on the business of manufactures, producers, assemblers, dealers, importers, exporters, stockists, distributors, agents or otherwise deal in storage batteries used in industries, railways, posts & telegraphs, navigation, ships army tanks, mining, power plants, automobiles and other industrial, commercial purposes and in manufacture of dry batteries, button batteries, battery plates, battery separators, battery containers, cells, lids and other battery components, etc., and other allied activities.

c) Accordingly, pursuant to the Scheme, the plastic component for Battery business will be demerged into the Resulting Company and the Demerged Company would continue to run and operate the Retained business. The Scheme is being proposed with a view to simplify the existing operations between the two Applicant Companies in order to increase efficiencies.

d) According to the Applicant Companies, the Scheme of Arrangement (Demerger) of Applicant Companies would help with a unified approach on supply chain management and consequent synergies leading to optimization of resources utilization, reduced operational, logistics, supervisory and overhead/utilities costs, reduce duplication of administrative efforts and better procurement policies and prices, for the Resulting company and covers in the facilities of Demerged Undertaking, thereby stabilizing the procurement process and adding further synergies in the combined business. The Board of Directors of both the Applicant Companies have considered it desirable and expedient to demerge the Demerged Undertaking of the 1st Applicant Company and vest the same with the 2nd Applicant Company. Such demerger is expected to be in the best interest of both companies, their respective shareholders, creditors, employees and other stakeholders.

e) The Board of Directors of the Applicant Companies, in their respective Board Meetings held on 26.09.2022 have approved the Scheme of Arrangement with appointed date as 01.04.2022, subject to the approval of their shareholders and creditors.

4. No investigation or proceedings have been instituted or are pending in relation to both the Applicant Companies.

5. The NSE and BSE have issued observation letters respectively giving in-principle approval to the demerger of the Demerged Undertaking of the 1st Applicant Company into the 2nd Applicant Company.

6. The Scheme does not in any way violate, override or circumscribe any provisions of the Companies Act, 2013.

7. There is no winding up petition or resolution process under the provisions of IBC pending against the Applicant Companies in any court or Tribunal in India.

8. The 1st Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are Eight (8) Equity Shareholders, together holding 1,39,03,877 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

9. The 1st Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are Four (4) Secured Creditors, having a debt of INR 2,37,79,14,746/- and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

10. The 1st Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are Six Hundred and Forty Six (646) Unsecured Creditors, having a debt of INR 1,54,67,98,859/-. Out of 646 Unsecured Creditors, 168 Unsecured Creditors, are individually having a debt of INR 5,00,000/- and above, that are totaling to INR 1,49,17,47,899/- in value, representing 26% in number and 96.44% in value of the total.

11. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are Five Lakhs Forty Eight Thousand Four Hundred and Thirty Three (5,48,433) Equity Shareholders and these equity shares are listed on the Stock Exchanges.

12. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are no Secured Creditors in the 2nd Applicant Company.

13. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 30.09.2022, there are One Thousand and Eighty One (1,081) Unsecured Creditors, having a debt of INR 6,61,51,69,051/-. Out of 1,081 Unsecured Creditors, 155 Unsecured Creditors, are individually having a debt which is more than INR 20,00,000/-, that is totaling to INR 6,41,12,83,379/- in value, representing 14% in number and 96.92% in the value of the total.

14. Heard the submissions made in this regard by Mr.S.Ravi, Senior Counsel along with Mr.M.Naga Deepak, Advocate appearing for the Applicant Companies and perused the documents filed.

15. It is noted that all the equity shareholders and Secured Creditors of the 1st Applicant Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Equity Shareholders and Secured Creditors of the 1st Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

16. With regard to the **Unsecured Creditors** of the 1st Applicant Company and **Equity Shareholders & Unsecured Creditors** of the 2nd Applicant Company, this Tribunal passed the following order:-

a) A meeting of the **Unsecured Creditors** of the 1st **Applicant Company** shall be held on **12.04.2023 at 10:00 AM,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

b) **Ms.M. Manoranjani, Advocate** (Mobile No. **9848559322**; email: **mano3ranjani@gmail.com**) shall be the **Chairperson** of the meeting of the **Unsecured Creditors** and in respect of any adjournment thereof.

c) **Mr. P.Anil Mukherji,** (Mobile No.**9885314234**; email: **anil@pamadvocates.com**) is appointed as the **Scrutinizer** for the meeting of **Unsecured Creditors** and in respect of any adjournment thereof.

d) A meeting of the **Equity Shareholders** of the **2nd Applicant Company** shall be held on **12.04.2023 at 12.30 PM,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

e) **Mr. M.Parameswara Reddy, Advocate** (Mobile No. **9700428210**; email: **reddyz2011@gmail.com**) shall be the **Chairperson** of the meeting of the **Equity Shareholders** and in respect of any adjournment thereof.

f) **Mr.Sivaram Prasad Gudipati, PCS** (Mobile No.**9494999116**; email: **rp.gsivaramaprasad@gmail.com**) is appointed as the **Scrutinizer** for the meeting of **Equity Shareholders** and in respect of any adjournment thereof.

g) A meeting of the **Unsecured Creditors** of the **2nd Applicant Company** shall be held on **12.04.2023 at 03:00 P.M,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

h) **Mr.Naresh Kumar Sangam, Advocate** (Mobile No.**9000666072**; email: **sangamnaresh@gmail.com**) shall be the **Chairperson** of the meeting of the Unsecured Creditors and in respect of any adjournment thereof.

i) **Mr.Ch.Srinivasulu, Advocate** (Mobile No.**9908672717;** email: **sreenivasvakeel@gmail.com**) is appointed as the **Scrutinizer** for the meeting of the Unsecured Creditors and in respect of any adjournment thereof.

j) The remuneration of the Chairman is fixed at Rs.1,25,000/- (Rupees One Lakh Twenty-Five Thousand Only) and remuneration of the scrutinizer is fixed at Rs.75,000/- (Rupees Seventy-Five Thousand only) per each meeting.

k) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in Business Line (in English) and in Eenadu (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons, free of charge from the registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the Corporate Office of the Applicant Company or at the office of its Advocates i.e., Mr.M.Naga Deepak & Mr.Rohan Aloor, at Flat No. D, First Floor, Uma Enclave, 8-2-584, Road No.9, Banjara Hills, Hyderabad – 500034, Ph: 040-23355907, +91 9985768788 in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

l) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman is free to avail the services of the Applicant Companies or any agency for carrying

out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of both the Applicant Companies and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

m) The issuance of individual notice of the Scheme to all the Creditors will be a futile exercise and disproportionate to the time, labour and cost involved and hence the service of individual notices to Unsecured Creditors who have claims *having outstanding debt amounting to not less than five per cent of the total outstanding debt as per the latest audited financial statement* as provided under Section 230 (4) of the Companies Act, 2013 are dispensed with.

n) The issuance of individual notice of the Scheme to all the shareholders will be a futile exercise and disproportionate to the time, labour and cost involved and hence the service of individual notices to shareholders who have *holding not less than ten per cent of the shareholding as per the latest audited financial statement* as provided under Section 230 (4) of the Companies Act, 2013 are dispensed with.

The Section 230 (4) is extracted hereunder for ready reference:

> *"Section 230(4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice:*
>
> *Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement".*

According to the submission made by the counsel and the auditor's report, as on 30.09.2022, there are 656 unsecured creditors of the First Applicant Company with their total value of Rs. 1,54,67,98,859/- (Rupees One Hundred and Fifty Four Crore, Sixty Seven Lakh, Ninety Eight Thousand, Eight Hundred and Fifty Nine Only). If a threshold is kept at Rs.5,00,000/- and above, there are 168 unsecured creditors, with their total value of Rs.1,49,17,47,899/- (One Hundred and Forty Nine Crores Seventeen Lakh Forty Seven Thousand Eight Hundred and Ninety Nine Only). The 168 unsecured creditors, who fall above the threshold of Rs.5,00,000/- and above, constitute 26% in

number of total creditors and **96.44% in the value of total unsecured creditors**. This satisfied the requirement of Section 230(6) of the Companies Act, 2013. The threshold was suggested to the Tribunal, since there are a large number of unsecured creditors.

FIRST APPLICANT COMPANY

	Total Number of Unsecured Creditors	**Total value of Unsecured Creditors**	**Number of Unsecured Creditors at & above Rs.5,00,000/- threshold**	**Value of the Unsecured Creditors at & above Rs.5,00,000/- threshold**
	646	**Rs.1,54,67,98,859/-**	**168**	**Rs.1,49,17,47,899/-**
% of Total	100%	100%	26%	**96.44%**

Similarly, in the Second Applicant Company, as on 30.09.2022, there are 1081 unsecured creditors with their total value amounting to Rs.6,61,51,69,051/- (Rupees Six Hundred and Sixty One Crores Fifty One Lakh Sixty Nine Thousand and Fifty One only). If a threshold is kept at Rs.20,00,000/- and above, there are 155 unsecured creditors, with their total value of Rs.6,41,12,83,379/- (Six Hundred and Forty One Crores Twelve Lakhs Eighty Three Thousand Three Hundred and Seventy Nine Only). The 155 unsecured creditors, who fall above the threshold of Rs. 20,00,000/- and above, constitute 14% in number of total creditors and **96.92% in the value of total unsecured creditors**. This satisfied the requirement of Section 230(6) of the Companies Act, 2013.

SECOND APPLICANT COMPANY

	Total Number of Unsecured Creditors	**Total value of Unsecured Creditors**	**Number of Unsecured Creditors at & above Rs.5,00,000/- threshold**	**Value of the Unsecured Creditors at and above Rs.5,00,000/- threshold**
	1081	**Rs.6,61,51,69,051/-**	**155**	**Rs.6,41,12,83,379-**
% of Total	100%	100%	14%	**96.92%**

o) Regarding the quorum for the meetings, Section 103 of the Companies Act, 2013 provides Quorum for the Meetings, depending on the number of persons to be present at the meeting, *unless the Articles of Association provides for a larger number*. Clause 79 of the Articles of Association of the First Applicant Company provides for a quorum of 5 people for a General Body Meeting. Clause 13.5 of the Articles of Association of the Second Applicant Company uses the same language as Section 103 of the Companies Act, 2013.

The Hon'ble NCLAT, New Delhi Bench in the case of *Minda I Connect Pvt. Ltd. v. Minda Industries Limited*, CA(AT) No. 134/2021, has stated that

> *"10% of the shareholders determined by NCLT, to constitute quorum is not provided under Section 230-232 of the Act, or under the Companies (Compromises, Arrangement and Amalgamation) Rules 2016. The number of creditors present at a meeting can always give consent and approval of the scheme of amalgamation, and if the approval satisfies the condition of Section 230 (6) of the Act, it is sufficient compliance of the provisions of the Companies Act, 2013".*

Hence, the quorum which as prayed for, i.e. 20 in case of unsecured creditors of the First and Second Applicant Company, and 50 or 100 for the equity shareholders of the Second Applicant Company, is in compliance with Section 103 of the Companies Act and the Articles of Association of the companies. Further, the quorum suggested still holds good, as long as the requirements of Section 230 (6) of the Companies Act, 2013 are met.

p) Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant Companies at the Registered office at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520, not later than 48 hours before the meetings vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

q) The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

r) It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

s) In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern region; (b) the Registrar of Companies, Andhra Pradesh (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

17. With the above directions, the Company Application i.e. CA(CAA)/2/230/AMR/2023 is disposed of.

Sd/- 09.02.2023
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu